

LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Incentive Misalignment Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, incentive misalignment is showing up most actively in your company right now. This one operates differently from the other three. Noise, bias, and accumulation distort judgment from inside the decision process. Incentives operate in the environment surrounding decisions — they determine how fast the other forces compound and how much friction exists to slow them. When incentives are misaligned, the other three forces run without resistance.

What incentive misalignment is

Incentive misalignment is the environmental layer that governs the rate at which noise, bias, and accumulation compound. Think of it as the fuel the other forces run on. Noise, bias, and accumulation are always present in organizations — they're latent. The incentive structure determines whether they operate with friction or without it.

In a clean incentive environment — honest feedback loops, no pressure to perform a narrative, no penalty for surfacing a hard truth — the three cognitive forces still operate, but they also self-correct. Disconfirming evidence lands. Honest dissent is possible. The chain forms slowly and breaks more easily. In a high-fuel environment — runway pressure, valuation optics, board expectations, identity fusion between founder and thesis — the same latent forces run without friction. The chain closes faster.

Two empirical regularities describe how misaligned incentives corrupt the signal environment. When a measure becomes a target, it ceases to be a good measure. And when a quantitative indicator is used for accountability, it becomes subject to gaming — not always through fraud, but through the rational redirection of effort toward what is measured and away from what matters.

How it typically shows up

The metrics a company reports to its board and the metrics it actually runs the business by start to diverge. Not dramatically, not dishonestly — but the external story and the internal reality are different documents. Sales reports units shipped; the operational reality is that implementation timelines are slipping and renewals are at risk. The company isn't lying. It's performing the narrative the incentive environment rewards, and the people inside can see the gap but can't quite say so without cost.

Then a harder truth surfaces — a product problem, a customer defection, a market signal that the thesis may need revisiting. The person who could have raised it three months ago didn't, because they had watched what happened to the last person who brought a hard problem into the room. By the time the truth is undeniable, the window for the cheaper response has closed.

That sequence — rational silence, delayed signal, expensive correction — is what high-fuel incentive environments produce. Reliably.

Where your assessment is pointing most clearly within incentive misalignment is on proxy corruption — the sequence by which a convenient metric gradually replaces the underlying goal it was meant to track. The question your assessment flagged describes Goodhart's Law in operational terms: when a measure becomes a target, it stops being a reliable measure of the reality it was designed to capture, because rational people optimize what they're evaluated on. This isn't a character problem. It's a structural inevitability once a metric carries accountability consequences. The company that measures sales activity starts getting activity. The company that measures NPS starts getting NPS responses. Whether those metrics still connect to revenue health, customer retention, or competitive position is a separate question — one that rarely gets asked while the numbers look acceptable. The audit to run: for each major performance metric, ask what a rational person does to improve their score on that metric, and whether those behaviors are the ones that actually move the underlying outcome the metric was meant to track.

Where to start

The first intervention is a behavioral audit of every significant performance metric. For each major metric the organization tracks, ask one question: what does a rational person do to improve their score on this metric, and are those the behaviors that actually move the underlying outcome it was designed to measure? Run this question across the leadership team independently before comparing answers. Where the behaviors diverge from the outcomes, the metric has corrupted. That divergence is the gap the organization is currently managing toward without knowing it.

The second is a metric sunset review on a fixed schedule. Once a year, every significant metric goes back to first principles: what was this designed to measure, does it still measure it, and what has optimizing for it produced in terms of actual behavior? Metrics that no longer connect to the underlying reality they were meant to capture don't get reformed — they get replaced. The organization that holds its metrics accountable to their original purpose is the one that doesn't wake up three years later having optimized its way to the wrong place.

The research behind this

The academic foundation for what your assessment detected comes primarily from *The Tyranny of Metrics* by Jerry Muller — the most direct account of how incentive structures and metric fixation distort organizational behavior, and why the behaviors an incentive system produces are often not the behaviors it intended. Goodhart's Law and Campbell's Law — both documented in detail there — are directly applicable to what your scores are showing. The insight that matters most: the harder an organization pushes on a metric, the less reliable that metric becomes as a guide to the underlying reality it was meant to capture.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how incentive misalignment combines with the other three forces — noise, bias, and accumulation — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, *Bad Call* is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

Bad Call: badcall.ai